Casa de Bolsa Interacciones

QUICKVIEW

Food

BIMBO A MM

Price
(MXN, as of 26/04/2018)
MXN$43.10

FLOAT
33.26%

BETA (3yr, vs Mexbol)
0.797

MARKET CAP. (MXN MN)
202,708

DL VL TRADED (AV. MXN MN)
100.8

TARGET PRICE
P$44 / Var. TP 2.1%

HOLD

*TP Under Review

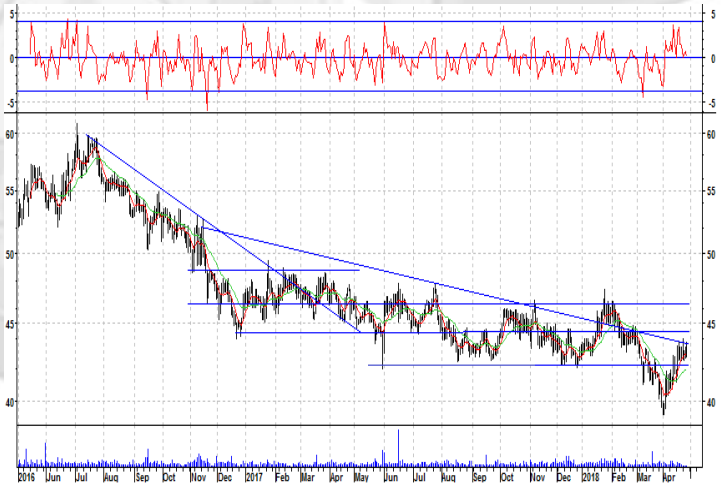
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Q118 Financial Report

Positive quarter - Bimbo reported favorable quarterly results, we believe as a result of lower integration expenses, which generated a significant margin expansion, thus offsetting the negative impact of the appreciation in the Mexican peso. In addition, net income was up 27.6% YoY based on a lower effective tax rate, given the tax reform in the United States. These results exceeded our expectations. We expect a positive short-term reaction in Bimbo's shares.

New acquisition – The company announced that it acquired *International Bakery*, a Peruvian producer of packaged bread, buns, turrón and panettone. The company did not provide the amount of this transaction. On the other hand, BBU, a Bimbo subsidiary, started a Voluntary Retirement Plan, with the aim of improving its profitability.



	Q118	Q117	Dif (%)
Sales	67,154	66,080	1.6%
Operating Income	4,147	3,586	15.6%
EBITDA	6,494	5,786	12.2%
Net Income	1,271	996	27.6%

	1T18	1T17	Dif (bp)
Operating Mgn. (%)	6.2%	5.4%	75
EBITDA Mgn. (%)	9.7%	8.8%	91
Profit Mgn. (%)	1.9%	1.5%	39

Data in million of pesos unless expressed otherwise, sum may vary due to adjustments.
Source: Interacciones and quarteryl company reports

Multiples	2015	2016	2017	L12M
P/E	41.8x	37.5x	44.2x	41.3x
P/BV	3.7x	3.1x	2.8x	3.0x
EV/EBITDA	12.1x	10.3x	10.8x	10.4x

Forecasts (mxn mill.)	2015	2016	2017	L12M
Revenues	219,186	252,141	267,515	265,589
EBITDA	23,369	29,297	27,288	27,996
EBITDA Margin (%)	10.7%	11.6%	10.2%	10.5%
Net Income	5,172	5,899	4,630	4,905
Net Margin (%)	2.4%	2.3%	1.7%	1.8%
Net Debt	63,936	75,686	87,097	84,524
Net Debt / EBITDA	2.74	2.58	3.19	3.02

Source: Interacciones Research and the company

Q118 Financial Report

Slightly lower-than-expected revenue growth - Bimbo's consolidated sales increased 1.6% YoY, reaching MXN$67.15 billion.

Mexico delivers a strong performance - In Mexico, revenues rose 10.8% YoY due to a combination of prices, in line with inflation and higher volumes in all channels, mainly convenience stores.

Peso appreciation limits North America's performance - Sales in North America were impacted by the appreciation of the Mexican peso during the quarter, falling 5.9% YoY in pesos, despite having increased 2% in dollar terms. The improvement in dollar sales was due to higher prices as well as a favorable performance in the snacks category, strategic brands in the US, and the bread category in Canada. To a lesser extent, they benefited from the integration of Bimbo QSR's US operations.

Latin America affected by an accounting change - Latin America's revenues decreased 8.4% YoY due to the change in the recognition of the Venezuelan operations as of June 1, 2017. However, sales grew in all categories in local currency.

E,A&A benefited from acquisitions - In the Europe, Africa and Asia region, sales were up 43.7% YoY driven by acquisitions that the company carried out during the last twelve months including Bimbo QSR, Ready Roti in India, Groupe Adghal in Morocco, and Donuts Iberia. In addition, the performance was favorable in the bread category in Iberia, and in the category of croissants in the United Kingdom. However, organic growth was affected by delays related to integration in Iberia.

Stronger margins boost EBITDA - The gross margin suffered a contraction of 80 bp to 52.9% due to higher commodity prices, and to the incorporation of Bimbo QSR operations. However, expenses fell 1.5% YoY, we believe as a result of lower integration expenses, as well as initiatives to reduce expenses and efficiencies in the distribution network. The EBITDA margin expanded 90 bp annually, standing at 9.7%, which boosted the EBITDA by 12.2% YoY (vs. 11.1% E) to MXN$6.49 billion. It is worth mentioning that the profitability of all operations improved. The E,A&A region reached the break-even point. In addition, this is the third quarter that the Latin American region registered a positive EBITDA.

Net profit rises quite substantially - Bimbo's net profit advanced 27.7% YoY, to MXN$1.27 billion, due to a reduction in the tax rate to 40.3% in the current quarter, compared to 42.9% in Q117. We believe that this was the result of the tax reform in the US.

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BIMBO A: Historic Target Price(s) & Recommendation(s)			
Date of change	12-oct-15	18-sep-14	18-jul-14
Target Price	P$44.00	P$44.00	P$220.00
Recommendation	2	1	2

** Recommendations: 1=Buy, 2=Hold, 3=Sell*